

Customer Targeting & Incremental Revenue Optimization

Deciding *who* to target with a marketing email to maximize incremental revenue — not just predicting who buys.
Demonstration on the public, randomized Hillstrom dataset.

Targeting policy Score a customer The story

Set the economics, then read the optimal policy

Cost per email (\$)

0.15

0.012.00

Value per conversion (\$)

95.00

-+

Optimal cutoff

57%

target top 10,985 customers

Profit at cutoff

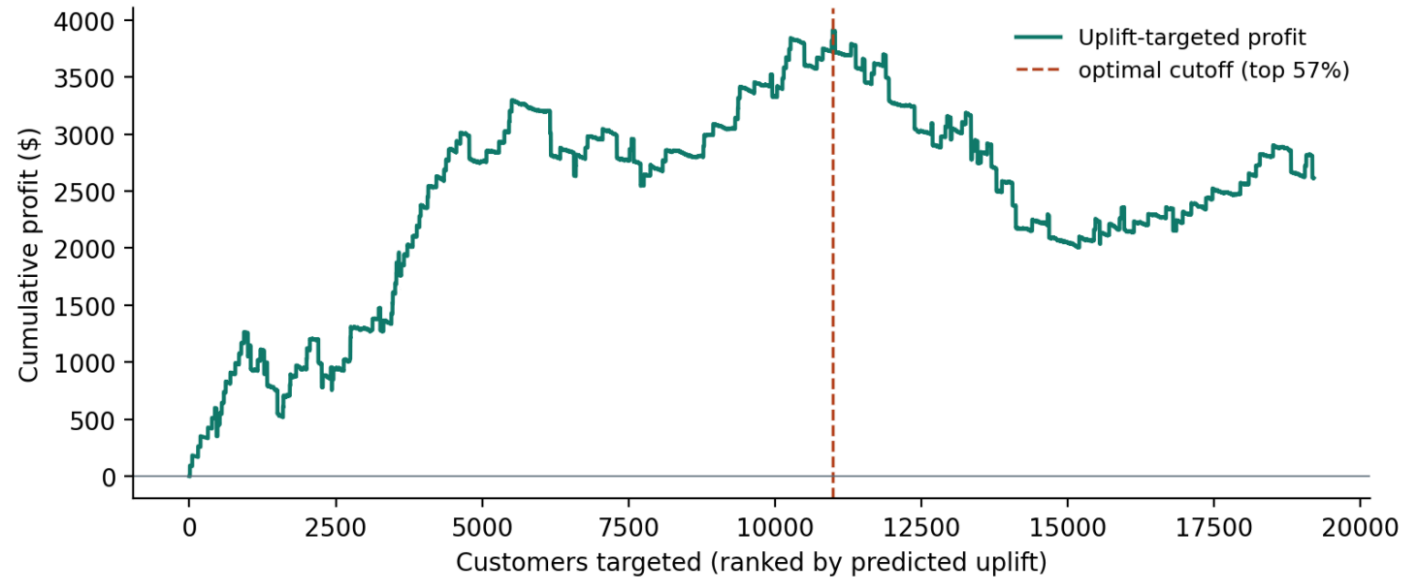
\$3,912

vs blanket \$2,615

Beats random by

\$2,416

same-size random targeting



Drag the cost slider: as cost rises, the optimal cutoff shrinks — the value of targeting scales with per-contact cost.